Rating Rationale

15 Sep 2023

Transcorp International Ltd

Brickwork Ratings removes the ratings from the Issuer Not Cooperating category and upgrades the ratings for the Bank Loan Facilities of Rs.5 Crs and Fixed Deposits of Rs.3.43Crs of Transcorp International Ltd, while continuing the Rating Watch with Negative Implications.

Particulars

Instrument/ Facilities**	Amount (In Rs. Crs)		Tenure	Rating #	
	Previous	Present		Previous (19 May, 2023)	Present
Fund Based	13.90	**4.50**	Long Term	BWR BB+/ Rating Watch with Negative Implications/ Issuer Not Cooperating* /Downgrade	**BWR BBB-/ Rating Watch with Negative Implications (Removal of ratings from Issuer Not Cooperating* category / Upgrade)**
Non Fund Based	0.50	**0.50**	Long Term		
FD Issue	12.00	**3.43**	Long Term		
Total	26.40	**8.43**	**INR Eight Crores Forty Three Lacs Only**		

#Please refer to BWR website **www.brickworkratings.com/** for definition of the ratings
**Details of Bank Loan facilities or instruments are provided in Annexure-I
*Issuer did not cooperate; based on best available information

RATING ACTION / OUTLOOK

Brickwork Ratings (BWR) has removed the ratings from Issuer Not Cooperating (INC) category while upgrade the rating to BWR BBB- for the Bank loan facilities and FD Issue aggregating Rs.8.43Crs of Transcorp International Limited (TIL or the company), while continued the ‘Rating Watch with Negative Implications’.

The ratings have now been removed from the INC category and upgraded based on the review carried out by BWR.

The rating derives strength from the experienced promoters and management team, established track record of the company in the money changing and transfer segments, improvements in segments business, comfortable solvency parameters with low dependence on external borrowings. The rating is also supported by the strong management practices in place and improvement in the financial risk profile.

The rating is, however, constrained by the low profitability levels, highly competitive nature of business, exposure to industry risk along with risk related to foreign exchange.
The continuation of Rating Watch with Negative Implications is on account of pending legal proceeding/infirmities involved due to Show Cause Notice (SCN) issued against the company and its Managing Director and Promoter director, by the Enforcement Directorate (ED) in terms of an alleged contravention of the provisions of the Foreign Exchange Management Act (FEMA). As per the Auditors Report for FY23, proceedings are still pending at Directorate of Enforcement (DoE) level with the interim stay on proceedings by Hon'ble Bombay High Court.

KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED: Nil

KEY RATING DRIVERS

Credit Strengths-:

- **Experienced promoters and management team with established track record of the company:** TIL was established in 1994 and has an established track record of more than 19 years in the industry. The promoters of the company including Managing Director, Mr Gopal Krishan Sharma has expertise in money changing and remittance business. The promoters are supported by a team of qualified professionals having significant experience in the financial services sector to manage different aspects of their operations. The board also includes an adequate number of independent directors to manage corporate governance.

- **Improvement in segment business :** The company is one of the major National Business Correspondents of State Bank of India (SBI) with 1000 Customer Service Points (CSPs), as on date and further the company has received the license to open new 1000 CSPs which will be operational by end of March-24. The company's Payments Division that includes the PPI license (Prepaid Instrument) is currently having 2 Millions KYC cardholders. The company generates maximum revenue from its Authorized Dealers-II business which accounted for 66% of the sales in FY23 (50% of the sales in FY22) and balance from other business segments.

- **Improvement in financial risk profile :** The company has reported y-on-y growth of 24.60% in its scale of operations as marked by an increase in its Total Operating Income (TOI) to Rs.2881.22Crs in FY23 as against Rs.2312.89Crs. The same was largely due to increase in volume in its money changing business. The improvement in TOI has resulted in improvement in operating profits leading to improvement in other debt coverage indicators as ISCR of the company improved and stood at 1.40x as on 31 March 2023 (PY 0.52x).

- **Comfortable solvency parameters with minimal dependence on external debt :** The company has a comfortable capital structure as marked by adequate gearing ratio of 0.12x as on 31 March 2023. TIL's adjusted gearing ratio (excluding investment in subsidiaries and corporate guarantees to its subsidiaries) stood at 0.76x times as on March 31, 2023. The company has low reliance on external borrowings and gradually reduced its external borrowings from its lenders during the year and also not inviting any public deposits during the current fiscal year.

Credit Risks-:

- **Low Profitability margins :** The company was earlier reporting operating and net losses upto FY21 due to COVID impact on business of the company however post end of pandemic the company has shown improvement in its operating & net profitability margins albeit remains very low at 0.11% and 0.01% respectively in FY23 (PY 0.06% and 0.01% respectively).

- **Highly competitive nature of business :** Over the last few years, the competition in money changing and remittances business has risen, with the entry of many banks and financial institutions. With increase in competition the margin tends to decline which puts additional pressure on profitability and liquidity of the company.

- **Exposure to Foreign Exchange Market Risk and moderate credit risks :** TIL is exposed to currency risk related to fluctuations in foreign currency as the company carries stocks of foreign currency and any adverse movement in exchange rate may affect the financial performance of the company. To mitigate the risk, TIL has hired specialists to manage foreign currency fluctuations as per the board approved policy. TIL carries counterparty risk in its money changing business in case of corporate clients, where the average period of credit is 30 days.

- **Exposure to Industry risks-** The money changing business in the country is highly competitive with a wide range of players operating in the segment. The business is also directly linked with economic growth since travel and tourism generally grow with a positive growth in the economy. The company is currently operating into the digital space with its Prepaid Instruments (PPI) business which has considerable growth opportunity, however, with many established players already in the segment, it is quite difficult for TIL to make a place for itself.

ANALYTICAL APPROACH - STANDALONE

BWR has revised the analytical approach to Standalone from Consolidated and considered standalone financials of TIL to arrive at the rating of Fixed Deposit and Bank Loan Facilities. BWR has essentially relied on the audited standalone financials up to FY23, unaudited financials for quarter ended June-23, projected financials up to FY25, publicly available information, as well as information/clarifications provided by the company's management and bankers. Additionally, BWR has applied its rating methodology as detailed in the Rating Criteria detailed below (hyperlinks provided at the end of this rationale).

RATING SENSITIVITIES

Positive Trigger

- Sustained increase in revenue with improvement in profitability leading to more than expected net cash accruals and an interest service coverage ratio of above 2x.
- Efficient working capital management leading to low to nil reliance on external debt and hence sustenance of robust financial risk profile and liquidity

Negative Trigger

- Decline in cash accruals on account of decline in revenues from fee based nature of the substantial business having impact from external factors/government/others.
- Any unfavorable judgment from ED impacting the business/operational performance of the company

LIQUIDITY INDICATORS - Adequate

The company has reported adequate liquidity position as marked by sufficient cash accruals of Rs.3.57Crs in FY23 as against debt obligation of Rs.2.21Crs. The company has further projected to achieve cash accruals of Rs.8-9Crs in current fiscal year as against minimal debt obligations of Rs.0.80Crs. The company has low dependence on external debt as capital structure of the company includes cash credit (reduced from Rs.13.90Crs to Rs.4.50Crs in May-23) and vehicle loans as on 31 March 2023. The average utilization of limits stood moderate at around 56.59% for the 8 months period ended 5 September 2023. The gearing ratio of the company stood comfortable at 0.12x as on 31 March 2023. Adjusted TNW (after reducing investment in subsidiary companies and contingent liabilities) stood at Rs.8.13Crs as on 31 March, 2023. The adjusted gearing stood at 0.76x as on 31 March, 2023. Also, the company has investments in equity instruments & mutual funds, fixed deposits and has sufficient cash & cash equivalent on a standalone basis stood at Rs.33.15Crs as on 31 March 2023 which can be utilized in case of any business requirements.

COMPANY PROFILE

Transcorp International Ltd (Transcorp) was incorporated on December 20, 1994 having head office at Moti Doongri Road, Jaipur, Rajasthan. The company is listed on the Bombay Stock Exchange (BSE). The company started as a Full Fledged Money Changer (FFMC) and subsequently received Authorized Dealer -II (AD - II) license from RBI. TIL now undertakes money transfer activities as a sub-agent of Ebix Money Services Pvt Ltd (EMSPL). The company presently operates in money changing, outward remittances and prepaid instruments by way of prepaid cards and wallet. The company is also a Business Correspondent for SBI and a corporate agent for Bajaj Allianz General Insurance. TIL offers various services including Prepaid cards and wallets in association with RUPAY and Yes Bank, travelers cheque in association with AMEX , Forex travel cards in association with Axis bank , ICICI Bank etc., domestic money transfer. TIL is also a National Business Correspondent of SBI which essentially means that it can act as an extension to the SBI official branch providing a slew of services on behalf of the bank like collection of various deposits as well as processing and disbursement of loans.

KEY FINANCIAL INDICATORS - Standalone

Key Parameters	Units	FY21	FY22	FY23	Q1FY24
Result Type		Audited	Audited	Audited	Unaudited
Total Operating Income	Rs. in Crs	914.54	2312.89	2881.22	641.40
OPBDIT	Rs. in Crs	-1.71	1.37	3.06	0.76
PAT	Rs. in Crs	-3.17	0.27	0.39	0.18
Tangible Net Worth	Rs. in Crs	49.73	50.13	50.66	NA
Total Debt /TNW	Times	0.46	0.20	0.12	NA
Current Ratio	Times	0.94	0.70	0.74	NA

NA : Not Available

NON-COOPERATION WITH PREVIOUS RATING AGENCY, IF ANY : Nil

RATING HISTORY FOR THE PREVIOUS THREE YEARS [Including withdrawal & suspended]

Nature of Instrument /Facility	Current Rating (2023)			2023		2022		2021		2020	
	Tenure	Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating
Bank Loan Facilities - FB /NFB	LT	5.00	**BWR BBB-/ Rating Watch with Negative Implications (Removal of ratings from Issuer Not Cooperating * category / Upgrade)**	19 May 2023	BWR BB+/ Rating Watch with Negative Implications (Issuer Not Cooperating */ Downgrade)	28 April 2022	BWR BBB- Reaffirmation/ Rating Watch with Negative Implications	4 Nov 2021	BWR BBB-/ Stable (Reaffirmation)	6 Nov 2020	BWR BBB-/ Stable (Downgrade)
Fixed Deposit Issue	LT	3.43	**BWR BBB-/ Rating Watch with Negative Implications (Removal of ratings from Issuer Not Cooperating * category / Upgrade)**	19 May 2023	BWR BB+/Rating Watch with Negative Implications (Issuer Not Cooperating */ Downgrade)	28 April 2022	BWR BBB- Reaffirmation/ Rating Watch with Negative Implications	4 Nov 2021	BWR BBB-/ Stable (Reaffirmation)	6 Nov 2020	BWR BBB-/ Stable (Downgrade)

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COMPLEXITY LEVELS OF THE INSTRUMENTS - Simple
BWR complexity levels are meant for educating investors. The BWR complexity levels are available at www.brickworkratings.com / download / ComplexityLevels.pdf. Investors queries can be sent to info@brickworkratings.com.

Hyperlink/Reference to applicable Criteria

- General Criteria
- Approach to Financial Ratios
- Service Sector
- Short Term Debt

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Transcorp International Ltd

ANNEXURE I

Details of Bank Facilities rated by BWR

Sl. No.	Name of the Bank	Type of Facilities	Long Term (₹ Cr)	Short Term (₹ Cr)	Total (₹ Cr)
1	HDFC Bank	Cash Credit	4.50	-	4.50
2	HDFC Bank	Bank Guarantee	0.50	-	0.50
		TOTAL			**5.00**

INR Five Crores Only

Sl. No.	Type of Facilities	Long Term (₹ Cr)	Short Term (₹ Cr)	Total (₹ Cr)
1	Fixed Deposits	3.43	-	3.43
	TOTAL			**3.43**

INR Three Crores Forty Three Lakhs Only

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